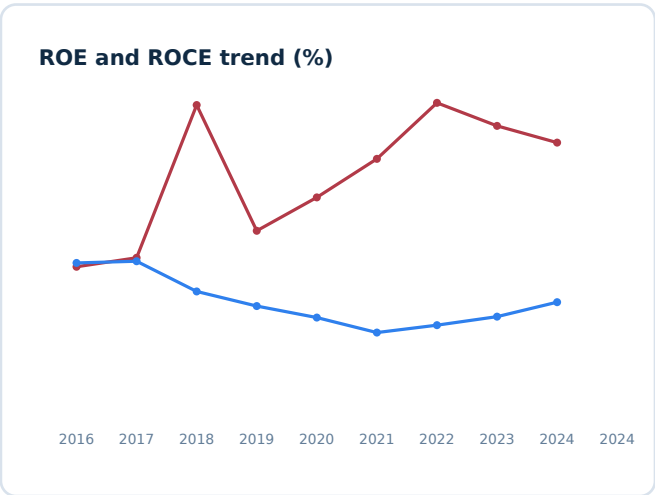
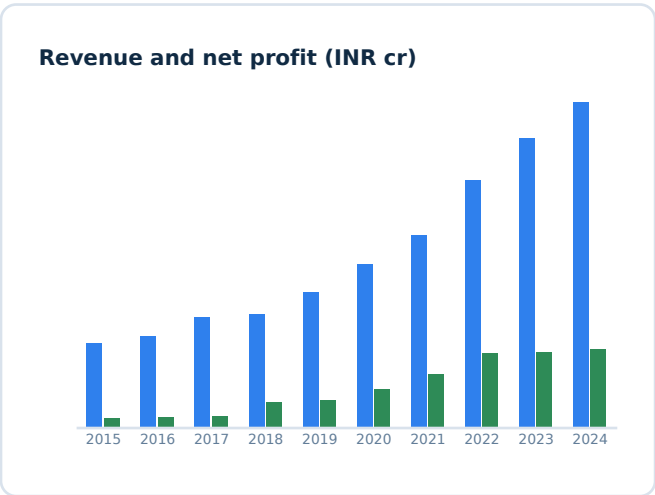


Indian Railway Finance Corporation Ltd

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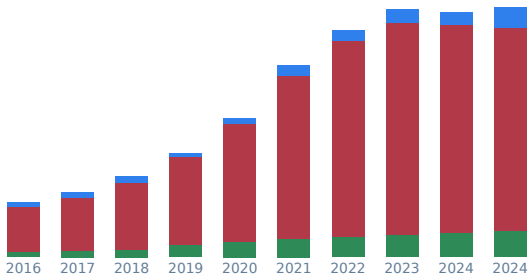
ROE	ROCE	REVENUE CAGR 5Y
N/A	N/A	19.1%
NET PROFIT	DEBT / EQUITY	BORROWINGS
6,412 cr	7.8x	403,111 cr



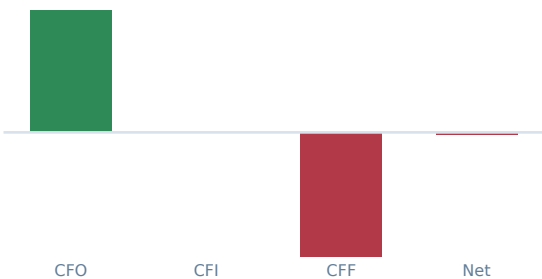
Coverage: 10 annual observations shown; latest financial year: 2024-03

Indian Railway Finance Corporation Ltd

Balance sheet composition (INR cr)



Latest-year cash flow (INR cr)



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION

Shareholder Returns